

Cumulative Stacked DiD Rating-Change Tables

Table 1: Operating Overrides and Near-Term Moody's Rating Downgrades

	Success vs. no override	Failure vs. no override	Any override vs. no override
<i>Override effect (treated vs. no override)</i>			
Pre-period (placebo)	-0.011 (0.018)	-0.028*** (0.006)	-0.018 (0.011)
Within 0 yr	0.019 (0.033)	-0.042*** (0.012)	-0.005 (0.022)
Within 1 yr	0.007 (0.033)	-0.037 (0.028)	-0.011 (0.024)
Within 2 yr	-0.007 (0.033)	-0.052* (0.029)	-0.025 (0.025)
<i>Controls (within-2 yr model)</i>			
Population size (log)	0.019 (0.021)	0.019 (0.023)	0.019 (0.022)
Outstanding debt level (%)	0.000 (0.000)	0.000 (0.000)	0.000 (0.000)
Unemployment rate (%)	0.010 (0.008)	0.014 (0.009)	0.012 (0.008)
Revenue stability (%)	0.000 (0.001)	0.001 (0.001)	0.000 (0.001)
Government revenue (per capita)	-0.001 (0.014)	-0.004 (0.017)	-0.002 (0.015)
Excess property tax capacity	0.050 (0.071)	0.072 (0.087)	0.059 (0.077)
Fiscal reserve (%)	-0.006*** (0.002)	-0.007*** (0.002)	-0.006*** (0.002)
Budget balance (%)	0.000 (0.002)	0.000 (0.002)	0.000 (0.002)
Stack fixed effects	Yes	Yes	Yes
Observations	13,734	9,407	23,141
Municipalities	237	234	239
Stacks	103	71	174

Notes: Stacked difference-in-differences on the repeated-event sample. Each column is a separate stacked linear probability model comparing clean operating override events (event years 2005–2019; treated events fully clean of the opposite outcome) against municipalities with no operating override of either type in the $[-2, +2]$ window. The first two columns restrict treated events to successful and failed overrides respectively; the *Any override* column pools both (any override vs. no override). The outcome is an indicator for a Moody's rating downgrade relative to the pre-vote baseline rating two years before the event ($t - 2$), cumulated through the event year (within 0), the following year (within 1), and two years out (within 2). The pre-period row is a placebo: a $t - 1$ -versus- $t - 2$ rating change regressed on treatment, which should be zero. The override-effect rows report the treatment coefficient at each horizon; the control coefficients below are from the within-2-year model, whose treatment coefficient is the Within 2 yr row. Both columns are override-vs.-no-override contrasts: a failed override is still an override and signals a municipality unable to balance its budget within current resources. All models include the fiscal controls measured at the election fiscal year. Stack fixed effects throughout; standard errors in parentheses clustered by municipality. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table 2: Operating Overrides and Near-Term Moody's Rating Upgrades

	Success vs. no override	Failure vs. no override	Any override vs. no override
<i>Override effect (treated vs. no override)</i>			
Pre-period (placebo)	-0.044** (0.018)	0.017 (0.033)	-0.018 (0.018)
Within 0 yr	-0.064*** (0.024)	0.003 (0.035)	-0.037* (0.021)
Within 1 yr	-0.058** (0.024)	0.022 (0.050)	-0.026 (0.026)
Within 2 yr	-0.052* (0.029)	-0.016 (0.041)	-0.037 (0.026)
<i>Controls (within-2 yr model)</i>			
Population size (log)	0.001 (0.034)	0.008 (0.034)	0.004 (0.033)
Outstanding debt level (%)	0.000 (0.000)	0.000 (0.000)	0.000 (0.000)
Unemployment rate (%)	0.009 (0.013)	0.007 (0.012)	0.008 (0.012)
Revenue stability (%)	-0.001 (0.001)	-0.001 (0.001)	-0.001 (0.001)
Government revenue (per capita)	-0.009 (0.020)	-0.013 (0.018)	-0.010 (0.019)
Excess property tax capacity	-0.302** (0.123)	-0.309** (0.134)	-0.304** (0.127)
Fiscal reserve (%)	0.001 (0.002)	0.001 (0.001)	0.001 (0.002)
Budget balance (%)	0.003 (0.002)	0.003 (0.002)	0.003 (0.002)
Stack fixed effects	Yes	Yes	Yes
Observations	13,734	9,407	23,141
Municipalities	237	234	239
Stacks	103	71	174

Notes: Stacked difference-in-differences on the repeated-event sample. Each column is a separate stacked linear probability model comparing clean operating override events (event years 2005–2019; treated events fully clean of the opposite outcome) against municipalities with no operating override of either type in the $[-2, +2]$ window. The first two columns restrict treated events to successful and failed overrides respectively; the *Any override* column pools both (any override vs. no override). The outcome is an indicator for a Moody's rating upgrade relative to the pre-vote baseline rating two years before the event ($t - 2$), cumulated through the event year (within 0), the following year (within 1), and two years out (within 2). The pre-period row is a placebo: a $t - 1$ -versus- $t - 2$ rating change regressed on treatment, which should be zero. The override-effect rows report the treatment coefficient at each horizon; the control coefficients below are from the within-2-year model, whose treatment coefficient is the Within 2 yr row. Both columns are override-vs.-no-override contrasts: a failed override is still an override and signals a municipality unable to balance its budget within current resources. All models include the fiscal controls measured at the election fiscal year. Stack fixed effects throughout; standard errors in parentheses clustered by municipality. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table 3: Pre-Treatment Balance of Fiscal Fundamentals

	Success vs. no override	Failure vs. no override
Population size (log)	-0.095 (0.067)	-0.015 (0.065)
Outstanding debt level (%)	4.269 (3.982)	1.375 (5.021)
Unemployment rate (%)	-0.356** (0.153)	0.031 (0.191)
Revenue stability (%)	7.301*** (1.240)	2.450 (1.683)
Government revenue (per capita)	0.169 (0.108)	-0.096 (0.122)
Excess property tax capacity	-0.031*** (0.009)	-0.048*** (0.007)
Fiscal reserve (%)	-2.073** (0.983)	-2.573* (1.402)
Budget balance (%)	-0.722 (0.640)	-1.105* (0.653)

Notes: Each cell is the coefficient from regressing the listed control (measured at the election fiscal year, $t - 1$) on the treatment indicator within stacks, i.e. the pre-treatment difference between treated events and their no-override controls; standard errors in parentheses are clustered by municipality. A significant coefficient indicates pre-treatment imbalance (selection). Override municipalities of both types are lower on excess property tax capacity and fiscal reserve; successful-override municipalities are additionally higher on revenue stability and lower on unemployment. The two imbalanced reserve/capacity measures are also the controls that carry signal in the rating-change models (Tables 1 and 2). * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.